BEFORE THE PUBLIC UTILITIES COMMISSION
OF THE STATE OF CALIFORNIA

Order Instituting Rulemaking to Enhance Demand Response in California.	Rulemaking 25-09-004 (Filed September 18, 2025)

COMMENTS OF THE VEHICLE-GRID INTEGRATION COUNCIL ON ORDER INSTITUTING RULEMAKING TO ENHANCE DEMAND RESPONSE IN CALIFORNIA

Zach Woogen
Executive Director
Vehicle-Grid Integration Council
1401 21st St., Suite 5409
Sacramento, California 95811
Telephone: (510) 665-7811
Email: vgicregulatory@vgicouncil.org

Grace Pratt
Caliber Strategies
801 K Street, Suite 2800
Sacramento, CA 95814
Telephone: (818) 264-6437
Email: grace@caliberstrat.com

Date: November 13, 2025

BEFORE THE PUBLIC UTILITIES COMMISSION
OF THE STATE OF CALIFORNIA

Order Instituting Rulemaking to Enhance Demand Response in California.	Rulemaking 25-09-004 (Filed September 18, 2025)

COMMENTS OF THE VEHICLE-GRID INTEGRATION COUNCIL ON ORDER INSTITUTING RULEMAKING TO ENHANCE DEMAND RESPONSE IN CALIFORNIA

In accordance with the Rules of Practice and Procedure of the California Public Utilities Commission ("Commission"), the Vehicle-Grid Integration Council ("VGIC") hereby submits these comments on the *Order Instituting Rulemaking to Enhance Demand Response in California* ("OIR"), issued on September 29, 2025.

I. INTRODUCTION.

VGIC supports the Commission's goal of modernizing demand response ("DR") policy to reflect evolving customer technologies and grid needs. As electric vehicle ("EV") adoption accelerates, vehicle-grid integration ("VGI") solutions, such as managed charging and bidirectional charging, will play a critical role in providing reliable, flexible load and export capabilities. This proceeding will have the opportunity to discuss how best to unlock the value of these resources for broad customer and ratepayer benefit. VGIC looks forward to engaging with the Commission and stakeholders on these issues and offers comments below on the scope and schedule of this proceeding.

II. BACKGROUND & INTEREST IN PROCEEDING.

VGIC is a 501(c)6 member-based advocacy group committed to advancing the role of EVs and vehicle-grid integration ("VGI") through policy development, education, outreach, and research. VGIC supports the transition to a decarbonized transportation and electric sector by ensuring the value from flexible EV charging and discharging is recognized and compensated to achieve a more reliable, affordable, and efficient electric grid. VGIC's members include automotive original equipment manufacturers ("OEMs"), EV service providers ("EVSPs"), DER aggregators, EV charging site developers, publicly owned electric utilities, and Community Choice Aggregators.

EVs can provide critical load flexibility and demand response in California. As EV adoption in the state grows, these large batteries on wheels have the potential to be a significant flexible load resource, shifting load between different times and providing energy to customers and the grid via bidirectional capabilities. VGIC, therefore, holds a direct interest in modifications to demand response policy. VGIC has been an active party in the previous Demand Response applications, A.22-05-002, et al., and related rulemakings on DERs and demand flexibility such as R.21-06-017 and R.22-07-005.

III. COMMENTS ON THE PROPOSED SCOPE.

A. Exports should be included in the Demand Response framework.

As a general matter, the Commission should ensure that exports from customer-sited DERs are included in the scope of what is discussed as demand response. California has recognized the grid value of exports from customer DERs in certain key DR programs, including the Commission-approved Emergency Load Reduction Program ("ELRP") and the California Energy Commissio's Demand Side Grid Support ("DSGS") program. However, there is a large potential for exports to be provided from customer resources, including bidirectional EV charging systems. For example, Oakland Unified School District's bidirectional all-electric fleet can provide 2.1 GWh of flexible power a year.[1]

Given that these resources are built first to serve onsite customer needs and mostly perform as aggregated portfolios instead of individual assets, Demand Response is likely still the most appropriate model for these resources. VGIC encourages the Commission to take the Incremental Load Reduction model used by ELRP and apply it to demand response programs where exporting resources are participating.

B. Response to Existing Scoping questions.

1. **What guiding principles should the Commission adopt for demand response policies?**

   VGIC does not offer any comments on the guiding principles at this time.

2. **What policies should the Commission adopt or amend to make demand response resources more consistent, predictable, reliable, and cost-effective, including but not limited to:**

   a. **Dual participation;**

   b. **Valuation methodologies and evaluation metrics;**

   c. **CAISO market integration topics; and**

   d. **Resource adequacy valuation and slice-of-day implementation?**

VGIC strongly supports the inclusion of this question in the scope of this proceeding. In evaluating the issues laid out in this question, VGIC encourages the Commission to consider leveraging a device-level DR framework. Many customers are now providing demand response not by changing their overall load, but by controlling specific large load devices that provide outsized grid impacts. This is especially true for EV customers. For example, the average

[1] The EV Report, "First All-Electric, Bidirectional V2G School Bus Fleet Launches in Oakland", May 16, 2024: https://theevreport.com/first-all-electric-bidirectional-v2g-school-bus-fleet-launches-in-oakland

household in California uses roughly 17 kWh of electricity a day, but the average EV battery is almost four times that size.[2] The current statewide average battery capacity for full battery-electric vehicles exceeds 60 kWh.[3] While most EV customers do not charge every day, these batteries are a significant source of load flexibility and can provide substantial demand response, even when other loads are inflexible. Since significant demand response capability is found in particular devices or DERs, the Commission should seek to move valuation methodologies and metrics to the device level. Device-level participation can also alleviate some dual-participation concerns, since customers can participate in different programs with different devices, with participation measured separately for each device.

Other dual participation considerations will also have to be considered in this proceeding since DR programs tend to focus on one grid service value (e.g., system capacity, emergency reliability, or distribution system management), and it is rare for a program to focus on a variety of grid service values, even though most DERs *can* be simultaneously optimized around several grid services. For EVs, there are also opportunities to both control load (i.e., manage EV charging) and provide power via discharging the vehicle battery (i.e., bidirectional EV charging). When considering dual participation, the Commission should determine how best to enable customers to deliver a range of grid service values, including through dual participation in multiple programs.

On CAISO market integration and Resource Adequacy ("RA") valuation, VGIC also supports discussing these issues in this proceeding. The Commission should ensure that the full scope of RA issues can be discussed in this venue. While VGIC appreciates that the Commission

---

[2] Electricity consumption data from the CEC *2019 California Residential Appliance Saturation Study (RASS)* https://www.energy.ca.gov/sites/default/files/2021-08/CEC-200-2021-005-ES.pdf#:~:text=Electricity%20Consumption%20and%20Unit%20Energy%20Consumption%20The,to%20the%202009%20consumption%20by%20end%20use.

[3] International Energy Agency, Global EV Outlook 2023: https://www.iea.org/reports/global-ev-outlook-2023

has a separate proceeding on RA, R.25-10-003, that proceeding has many topics, and parties are almost exclusively focused on utility-scale project issues. By addressing these issues in a dedicated DR venue, all relevant stakeholders can remain focused on the unique considerations of this resource type. Relatedly, the relevant stakeholders do not need to expend their very limited resources engaging in a separate proceeding (i.e., the RA proceeding) which focuses primarily on utility-scale issues. To the extent coordination is required with the RA proceeding, the Commission should clearly delineate which issues must be taken up in the RA OIR or incorporated into this proceeding, ensuring that all issues are accounted for. VGIC posits that all relevant RA issues can likely be addressed in this proceeding, with only minor coordination with the RA proceeding. VGIC also recommends that this issue be discussed in 2026, which we discuss further below.

3. **What standardized data systems, communication protocols, and data transfer processes should the Commission adopt or amend to support demand response initiatives, including dynamic rates?**

VGIC supports this scoping topic. Data processes, in particular the *Share My Data* / "Green Button" process, has long been a significant barrier to DR participation. Data access has been extremely onerous for customers and vendors to navigate. There are also alternative sources of data, including device-level data from EVs or EVSE, that could be used for DR measurement, but are largely untapped in Commission-approved programs. We encourage the Commission to ensure that standardized data systems can incorporate device-level data and that programs look towards device-level performance measurement. For EVs, this can include data from submeters, including EVSE acting as submeters, or onboard telematics systems. Issues surrounding device-level data collection and transfer should be included in this proceeding. Post processing of raw telematics data, such as line loss from EVSE to vehicle battery, should be discussed to arrive at accurate data to measure performance measurement and inform program development.

When the Commission considers data collection requirements and processing needs, VGIC encourages the Commission to consider not only data needed for individual program performance measurement but also weigh whether other data or data processing is needed to ensure that DR resources can show their full capacity values. To maximize the value of DR and dynamic rates, it is critical that these resources be included in LSE supply plans or load forecasts to reduce capacity obligations. VGIC understands that there have been multiple barriers in this effort, but to the extent that data collection and transfer is one of them, the Commission should ensure that this Rulemaking addresses any gaps that must be filled.

IV. PROCEDURAL SCHEDULE.

Given the breadth of this proceeding, VGIC recommends concurrent tracks to address all issues in scope in a timely manner. VGIC recommends beginning discussions on the issues in question 2 (i.e., dual participation, valuation metrics, CAISO market integration, and Resource Adequacy) in 2026. The current schedule laid out in the OIR does not have these issues being discussed at all until 2027. The OIR also contemplates releasing a Proposed Decision on both DR guiding principles and data systems and process improvements in Q3 2026. If the Commission would like to have adopted guiding principles before the discussion of the items in question 2, a separate Decision should be adopted in Q1 2026 on the guiding principles based on party comments on this OIR.

V. CATEGORIZATION, AND NEED FOR HEARINGS.

VGIC supports the categorization of this proceeding and agrees with the preliminary determination that hearings will not be necessary.

VI. NOTICES.

Service of all notices and communications in this proceeding should be directed to the following VGIC representative:

Zach Woogen
Executive Director
Vehicle-Grid Integration Council
1401 21st St., Suite 5409
Sacramento, California 95811
Telephone: (510) 665-7811
Email: vgicregulatory@vgicouncil.org

VII. CONCLUSION.

VGIC appreciates the opportunity to provide these comments on the OIR. We look forward to further collaboration with the Commission and stakeholders on this initiative.

Respectfully submitted,

/s/ Zach Woogen
Zach Woogen
Executive Director
VEHICLE-GRID INTEGRATION COUNCIL

Date: November 13, 2025